

Equity Research – Initiation of Coverage RBC BEARINGS (RBC)

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Independent Equity Research

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“For Want of a Nail, the shoe was lost...” – Benjamin Franklin

The importance of a single component often determines the success of an entire system.

Introduction to the Company

Few businesses illustrate this proverb better than RBC Bearings. The company manufactures highly engineered bearings and precision components that often represent only a small fraction of the cost of an aircraft, submarine, or industrial machine. Yet, the failure of a single part can compromise an entire system, making reliability, engineering expertise, and product certification far more valuable than the component itself.

Founded in 1919 in the United States, RBC Bearings has evolved into a global manufacturer serving customers across the Industrial and Aerospace & Defense markets. With operations spanning multiple countries, the company supplies mission-critical products to many of the world's leading Original Equipment Manufacturers (OEMs), supporting applications where performance, durability, and precision are essential.

Rather than developing these highly specialized products internally, OEMs rely on suppliers such as RBC Bearings, whose decades of engineering expertise, rigorous qualification processes, and proven track record have established long-term customer relationships. Although these products typically represent only a small fraction of the total cost of an aircraft or industrial machine, their failure can lead to significant operational disruptions, costly maintenance events, or, in extreme cases, catastrophic system failures.

Today, RBC serves a broad range of end markets, including industrial machinery, mining, energy, aerospace, and defense applications, balancing cyclical industrial exposure with long-term structural demand from commercial aviation and defense programs. Understanding the critical role these products play within complex industrial and aerospace systems is fundamental to understanding RBC's competitive positioning, long-term growth prospects, and investment appeal.

Key Facts

During the latest fiscal year, 58% of RBC Bearings' net sales were generated from its Industrial segment, while the remaining 42% came from Aerospace & Defense, providing the company with a well-balanced revenue mix across two attractive end markets.

Recommendation: **SELL**

Ticker: **RBC**

Exchange: **New York Stock Exchange (NYSE)**

Current Price: **US\$ 591.50**

Target Price: **US\$ 187.99**

Downside: **68%**

Industry: **Industrial**

Market Capitalization: **18,632.2**

Valuation: **DCF**

The company operates 65 facilities across 11 countries, including manufacturing plants, distribution centers, and engineering operations, allowing it to serve customers globally while maintaining close relationships with major Original Equipment Manufacturers (OEMs). Its customer base includes some of the world's leading industrial and aerospace companies, such as Boeing, Airbus, Newport News Shipbuilding, Lockheed Martin, Northrop Grumman, RTX, Blue Origin, SpaceX, as well as the U.S. Department of Defense (DoD or DoW).

The Aerospace & Defense segment benefits from structural competitive advantages that are generally less pronounced in traditional industrial markets. Components used in commercial aircraft, military platforms, and defense systems must undergo rigorous qualification and certification processes before being approved for service. For example, aviation components often require certification by the Federal Aviation Administration (FAA), a process that can take years and involve extensive testing and validation. Likewise, military programs frequently involve proprietary specifications, classified applications, and long-term procurement contracts.

Although these qualification requirements do not constitute patent protection, they create significant switching costs and certification barriers, making supplier replacement both costly and time-consuming. Once a component has been qualified and integrated into a platform, OEMs generally prefer to maintain the existing supplier throughout the equipment's operational life, creating a recurring aftermarket opportunity and strengthening long-term customer relationships.

However, RBC's competitive position is not solely dependent on regulatory or certification barriers. Approximately 58% of its revenue is generated from industrial markets, where competitors face fewer qualification constraints and competition can be more aggressive. Even in these markets, the company has maintained a strong competitive position through decades of engineering expertise, an extensive intellectual property portfolio, high product quality, and a reputation for reliability.

Management has consistently pursued a long-term acquisition strategy to expand both its product portfolio and market presence. Rather than relying exclusively on organic growth, RBC has successfully integrated complementary businesses that strengthen its competitive positioning and broaden its technological capabilities.

The company's most recent acquisition was VACCO Industries, completed on July 18, 2025, for approximately US\$276.7 million, financed through a combination of cash on hand and borrowings under its revolving credit facility. Based in California, VACCO manufactures highly engineered valves, manifolds, filters, regulators, and fluid-control components primarily serving the aerospace and defense industries. The acquisition further strengthens RBC's presence in mission-critical aerospace applications while creating opportunities for operational and commercial synergies.

RBC has also invested in strengthening its digital capabilities through RBC e-Shop, an integrated online platform designed for selected customers, and through its strategic joint venture with CoLinx, in which the company holds a 20% ownership interest. Through CoLinx, RBC enhances logistics efficiency while providing digital information services and supply chain solutions to its authorized distributors.

In addition to investing in technology and acquisitions, the company actively supports workforce development through partnerships with universities, internship programs, tuition reimbursement initiatives, and internal training programs, reinforcing its commitment to attracting and developing highly skilled engineering talent.

Capital allocation has historically prioritized long-term value creation over shareholder distributions. RBC has not paid a dividend since 2014, reflecting management's preference to retain capital to support acquisitions, organic investment, and future growth opportunities.

Taken together, RBC Bearings combines diversified end-market exposure, long-standing customer relationships, high engineering barriers, disciplined capital allocation, and a proven acquisition strategy. These characteristics have enabled the company to build a resilient business model while positioning it to benefit from the long-term growth of both the Industrial and Aerospace & Defense markets.

Industry & U.S. Market Context

The majority of RBC Bearings' revenue is generated in the United States, making the company's financial performance closely tied to the U.S. economic environment. Although RBC maintains operations and serves customers globally, international markets represent a complementary source of revenue rather than the company's primary growth driver.

The United States continues to provide one of the world's most attractive environments for industrial investment, supported by deep capital markets, technological leadership, and a highly developed aerospace and defense ecosystem. Nevertheless, investors should recognize that several macroeconomic and geopolitical developments have the potential to influence RBC's operating environment over the coming years.

From a monetary policy perspective, changes in Federal Reserve leadership and evolving expectations regarding future interest rates may increase market volatility. More importantly, monetary policy directly influences the cost of capital, corporate investment decisions, and financing conditions. For manufacturers such as RBC Bearings, lower borrowing costs may encourage industrial investment and capital expenditures, while higher interest rates can delay customer spending and increase the company's weighted average cost of capital (WACC), ultimately affecting valuation.

Geopolitical developments also remain an important consideration. Heightened geopolitical tensions, ongoing military conflicts, and increased defense spending across the United States and allied nations continue to support long-term demand for aerospace and defense platforms. As a supplier of mission-critical components used in military aircraft, naval systems, missiles, and other defense applications, RBC is positioned to benefit from sustained investment in defense modernization programs. At the same time, its diversified Industrial segment provides exposure to broader manufacturing activity, helping balance the company's overall revenue base across different economic cycles.

Beyond defense, RBC also benefits from long-term structural growth in commercial aerospace. Rising global air travel, fleet expansion, and increasing maintenance, repair, and overhaul (MRO) activity continue to support demand for precision-engineered aerospace components. Given the long operational life of commercial aircraft and the recurring need for replacement parts, the commercial aerospace aftermarket provides an additional source of resilient and recurring revenue.

The U.S. Department of Defense (DoD) remains one of the world's largest purchasers of aerospace and defense equipment, while NATO members and other allied countries have increasingly committed to strengthening their defense capabilities in response to the evolving global security environment. These long-term structural trends are expected to support demand across the aerospace and defense supply chain, creating favorable opportunities for qualified suppliers such as RBC Bearings.

More recently, the One Big Beautiful Bill Act introduced several tax provisions that may benefit capital-intensive manufacturers. Expanded incentives related to research and development expenditures, capital investment, and accelerated depreciation are expected to improve cash flow timing and enhance after-tax returns on investment. While these provisions benefit a broad range of U.S. industrial companies, businesses with disciplined capital allocation strategies, such as RBC Bearings, may be particularly well positioned to capture these long-term advantages.

Overall, RBC Bearings operates within an environment supported by strong structural drivers, including industrial investment, commercial aerospace expansion, and sustained defense spending. Although macroeconomic cycles and monetary policy may influence short-term performance, the company's diversified exposure across multiple end markets provides a solid foundation for long-term growth.

Business Model and Financial Overview

RBC Bearings generates revenue through the design, manufacture, and sale of highly engineered bearings and precision components. The company serves both OEM customers and the aftermarket, with operations organized into two primary reporting segments: Industrial and Aerospace & Defense.

Equity Research – Initiation of Coverage RBC BEARINGS (RBC)

Although the company's products typically represent only a small fraction of the total cost of an aircraft or industrial machine, they are often indispensable to its operation. Purchasing decisions are therefore driven primarily by reliability, engineering expertise, certification history, and long-term performance rather than price alone. This positioning has enabled RBC to establish durable customer relationships while competing in markets characterized by high technical requirements and demanding qualification standards.

Industrial

- Mining
- Agriculture
- Chemical
- Energy
- General Manufacturing

Aerospace & Defense

- Commercial Aviation
- Military Aviation
- Naval
- Missiles
- Space

Following the post-pandemic recovery, RBC Bearings experienced a period of exceptionally strong revenue growth, with net sales increasing at an average annual rate of approximately 27% over the last five fiscal years. While part of this performance reflects the normalization of demand after the disruptions caused by COVID-19, the company's growth has also been supported by continued aerospace recovery, resilient industrial demand, disciplined pricing, and strategic acquisitions. These factors provide a solid foundation for continued long-term expansion, although growth is expected to gradually normalize toward more sustainable levels over time.

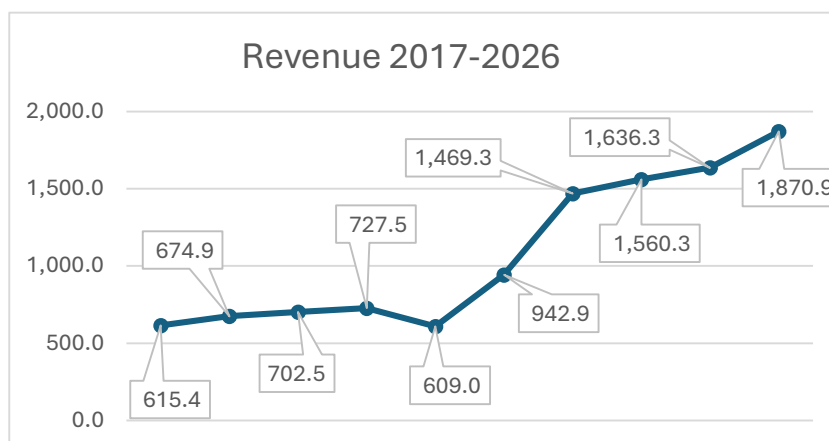


Figure 1. Revenue between 2017 and 2026

During the latest fiscal year, approximately 58% of consolidated net sales originated from the Industrial segment, while Aerospace & Defense accounted for the remaining 42%. Looking ahead, the acquisition of VACCO Industries, together with favorable long-term trends in commercial aerospace and defense spending, may gradually increase the contribution of the Aerospace & Defense segment to consolidated revenue. A richer sales mix is particularly important because the segment has historically demonstrated greater operating efficiency, with SG&A expenses representing a significantly lower percentage of revenue than those of the Industrial business. As a result, continued expansion of Aerospace & Defense could provide additional support for consolidated operating margins over the long term.

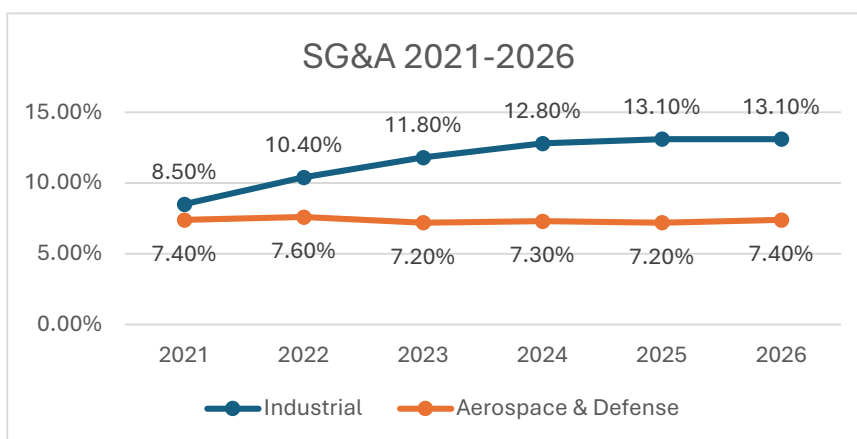


Figure 2.SG&A between 2021 and 2026

Historical financial performance also reflects management's disciplined capital allocation strategy. Following the pandemic, RBC successfully improved both profitability and returns on invested capital (ROIC), supported by margin expansion and strong cash generation. Although future acquisitions may temporarily dilute capital efficiency as newly acquired businesses are integrated, management has consistently demonstrated the ability to deploy capital into transactions that enhance the company's long-term competitive position and shareholder value.

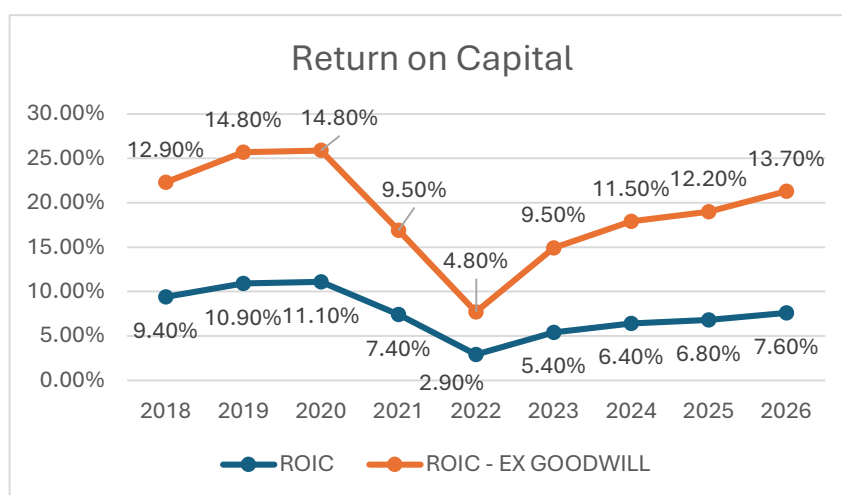


Figure 3. ROIC between 2018-2026

Beyond profitability, RBC's financial profile remains conservative. The company maintains manageable leverage, healthy liquidity, and a stable Cash Conversion Cycle (CCC), reflecting the specialized nature of its products and the long production cycles associated with many aerospace and industrial programs. Inventory levels are intentionally maintained to ensure product availability and support customers operating critical equipment, while long qualification processes and certification requirements contribute to recurring demand and stable customer relationships throughout a product's operational life.

Taken together, RBC Bearings combines a resilient business model with disciplined financial management and exposure to several long-term structural growth drivers. Continued recovery in commercial aerospace, increasing global defense expenditures, expanding space-related investment, and resilient industrial demand are expected to support future growth opportunities. Combined with management's disciplined acquisition strategy and continued focus on capital allocation, these trends provide a solid foundation for further margin expansion, sustained ROIC generation, and long-term value creation for shareholders.

The historical performance discussed above provides the foundation for the financial projections presented in this report. While past results do not guarantee future performance, they demonstrate management's ability to execute a disciplined growth strategy through organic expansion, pricing initiatives, and value-enhancing acquisitions.

Looking ahead, the forecast is supported by a combination of favorable macroeconomic conditions and company-specific catalysts. Rather than relying on a single growth driver, the projections incorporate multiple structural trends that are expected to support RBC Bearings' long-term growth over the coming years.

According to the International Monetary Fund (IMF) World Economic Outlook published in April 2026⁽¹⁾, global GDP is expected to grow by approximately 3.2% in 2027. Although this represents a moderation from the post-pandemic recovery period, it continues to indicate a resilient global economy capable of supporting industrial production, capital investment, and manufacturing activity.

The same report highlights a notable shift in global fiscal priorities, with Chapter 2 emphasizing the renewed expansion of defense expenditures. After decades of declining military spending following the end of the Cold War, governments are increasingly allocating resources toward defense modernization in response to a more uncertain geopolitical environment.

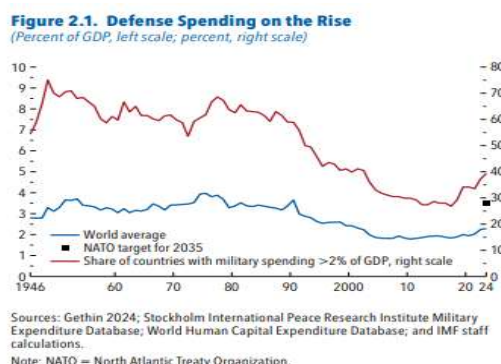


Figure 4. Source: *International Monetary Fund (IMF), World Economic Outlook, April 2026.*

The International Institute for Peace Research (SIPRI) reached a similar conclusion in its 2026 Military Expenditure Report⁽²⁾, confirming the acceleration in global defense spending already observed in its 2025 publication⁽³⁾. According to SIPRI, military expenditures continue to expand across most major economies, reflecting sustained investment in defense capabilities and long-term modernization programs.

For suppliers operating within the aerospace and defense supply chain, these structural trends provide an increasingly supportive demand environment. As a manufacturer of highly engineered components used in mission-critical applications, RBC Bearings is well positioned to benefit from this continued expansion in global defense investment.

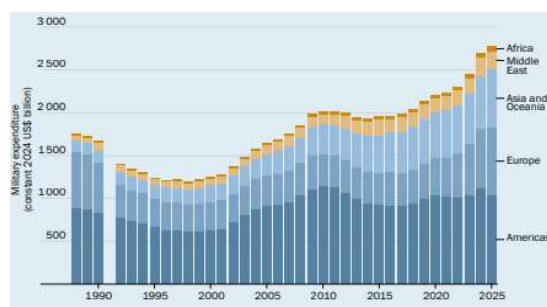


Figure 5. Source: *SIPRI TRENDS IN WORLD MILITARY EXPENDITURE, (2025)*

Beyond the macroeconomic outlook, the revenue forecast incorporates several company-specific factors that are expected to support sustainable long-term growth.

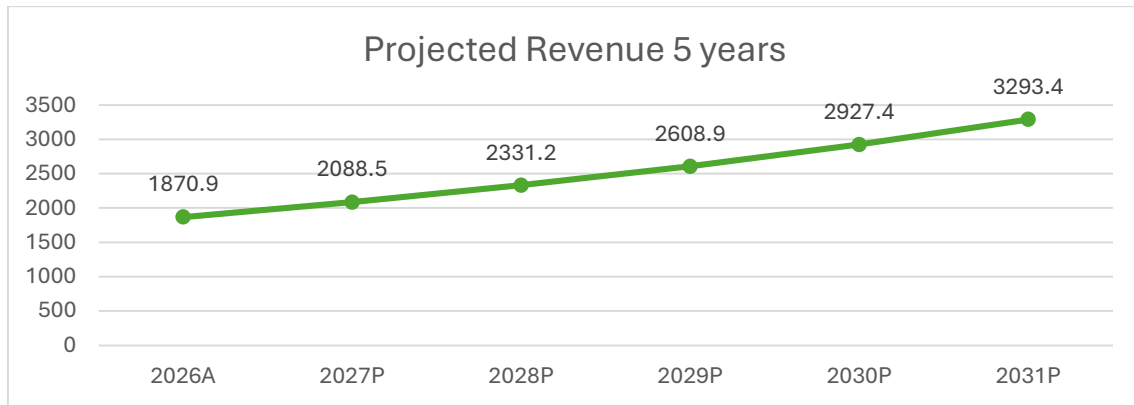


Figure 6. Revenue projection for the company's 5 years

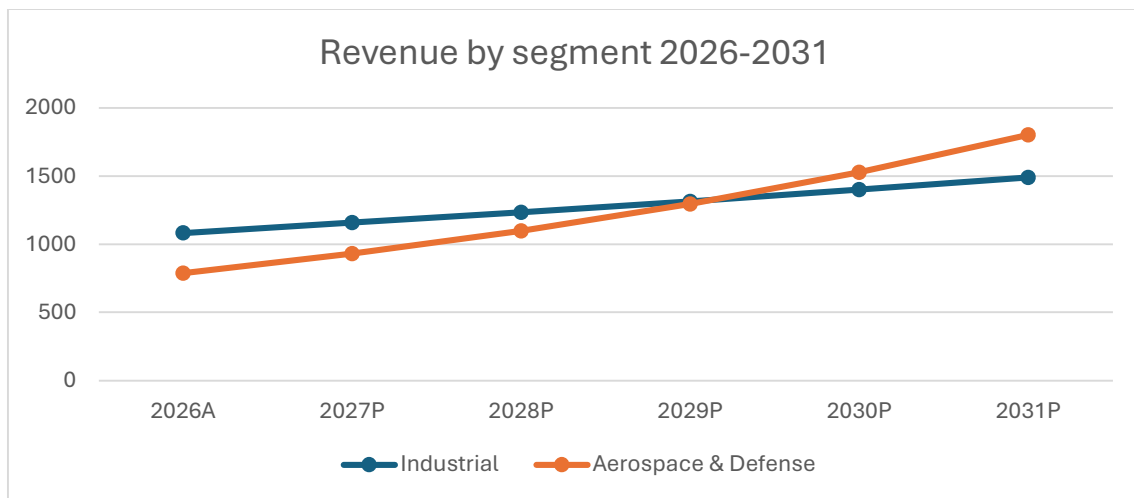


Figure 7. Projected revenue by segment

The continued expansion of the commercial space industry, led by companies such as SpaceX and Blue Origin, is expected to generate incremental demand throughout the aerospace supply chain. At the same time, increased military procurement across the United States, Europe, and other allied nations should continue to support demand for precision-engineered aerospace components.

Within the Industrial segment, expect growth to remain more moderate but resilient, reflecting the maturity of many end markets. Nevertheless, ongoing industrial investment, together with RBC's disciplined acquisition strategy, should continue to expand the company's product portfolio, customer base, and market reach.

Under these assumptions, the financial model projects revenue to grow at a CAGR of approximately 9.9% between fiscal years 2027 and 2031, gradually moderating to 3.6% over the 2032–2041 period as the business approaches a more mature growth profile. Supported by disciplined capital allocation, continued

operating efficiency, and a favorable business mix, ROIC is projected to improve to approximately 11% by 2031 before converging toward its long-term terminal level.

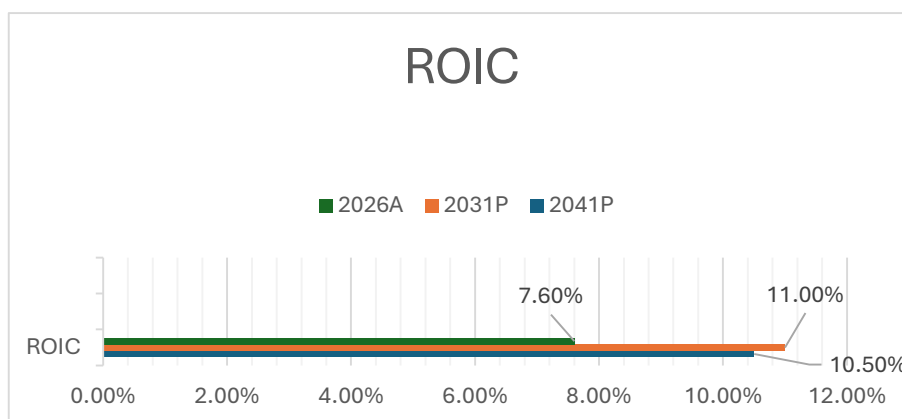


Figure 8. Projected ROIC

The valuation presented in this report supports initiating coverage of RBC Bearings with a SELL recommendation and a 12-month target price of US\$187.99 per share. Although the Company operates in structurally attractive end markets and has consistently demonstrated disciplined capital allocation, strong operational execution, and durable competitive advantages, the current market valuation appears to materially exceed its estimated intrinsic value.

RBC Bearings remains a high-quality industrial business with a resilient operating model, supported by long-term exposure to the Aerospace & Defense and Industrial markets, a proven acquisition strategy, and a history of consistent margin expansion. Financial projections presented throughout this report incorporate continued aerospace growth, resilient industrial demand, disciplined capital allocation, and successful integration of future acquisitions. Even under these assumptions, however, the projected free cash flows do not support the Company's current market valuation.

Accordingly, the SELL recommendation should not be interpreted as a negative assessment of RBC Bearings' business quality or management execution. Rather, it reflects the conclusion that the current share price already discounts an exceptionally optimistic combination of future revenue growth, operating margin expansion, and acquisition success. While the Company's long-term fundamentals remain attractive, the current risk-return profile appears unfavorable, as the market valuation significantly exceeds the intrinsic value derived from the assumptions adopted in this report.

Valuation Summary

RBC Bearings is valued using a Discounted Cash Flow (DCF) methodology, as this approach is considered the most appropriate for assessing the Company's intrinsic value based on its ability to generate sustainable free cash flow over the long term. The methodology captures the benefits of RBC's disciplined acquisition strategy, resilient business model, and exposure to structurally attractive end markets while appropriately incorporating the long-duration nature of its aerospace and defense programs.

The valuation results in an Enterprise Value of approximately US\$6.92 billion and an Equity Value of approximately US\$5.92 billion. After adjusting for net debt and dividing by approximately 31.5 million diluted shares outstanding, the analysis yields a 12-month target price of US\$187.99 per share. Compared with the current market price of approximately US\$591.00, this represents an implied downside of approximately 68%, supporting a SELL recommendation.

The SELL recommendation should not be interpreted as a deterioration in the Company's operating fundamentals. RBC Bearings remains a high-quality business with durable competitive advantages, strong operational execution, disciplined capital allocation, and exposure to attractive long-term growth markets. However, the current market valuation appears to discount a level of future growth, profitability, margin expansion, and acquisition execution that exceeds what can reasonably be supported under the operating assumptions adopted in this valuation. Even assuming continued aerospace recovery, resilient industrial demand, and successful execution of future acquisitions, the projected cash flows do not justify the current share price, resulting in an unfavorable risk-return profile for prospective investors.

Metric	Value
Recommendation	SELL
Current Price	US\$591.50
Target Price	US\$187.99
Implied Downside	68%
Valuation Method	DCF
Enterprise Value	US\$6.92bn
Equity Value	US\$5.92bn
Diluted Shares Outstanding	31.5 million
WACC	9.7%
Terminal Growth Rate	2.0%
Forecast Horizon	FY2027–FY2041
Terminal Value / Enterprise Value	50.3%

The valuation is primarily supported by four long-term operating assumptions, each reflecting a constructive outlook for the Company's business:

Continued expansion of the Aerospace & Defense segment, supported by rising global defense expenditures, sustained commercial aerospace recovery, and increasing investment across the broader aerospace industry;

Equity Research – Initiation of Coverage RBC BEARINGS (RBC)

Sustainable growth within the Industrial segment, reflecting resilient industrial demand and continued long-term global economic expansion;

Disciplined capital allocation through selective acquisitions, consistent with management's long-established M&A strategy and successful integration track record;

Continued operating efficiency improvements, supported by a richer Aerospace & Defense revenue mix, operating leverage, and prudent cost management.

Despite incorporating these favorable long-term assumptions, the resulting intrinsic value remains materially below the current market price. The current valuation appears to discount a level of future growth, profitability, and value creation that exceeds what can reasonably be supported by the operating assumptions adopted in this valuation. Accordingly, the analysis supports a SELL recommendation.

Long-Term Financial Outlook:

Metric	FY2027 – FY2031	FY2032 – FY2041
Revenue CAGR	9.9%	3.6%
ROIC	11%	10.5%

Scenarios/Sensitivity:

Scenario	Description	Target Price
Bear Case	Lower industrial demand, slower aerospace recovery, and weaker operating margins.	US\$125.42
Base Case	Assumptions adopted throughout this report.	US\$187.99
Bull Case	Stronger defense spending, successful acquisition integration, higher operating margins, and exponential profitability in consecutive years.	US\$415.08

	8.7%	9.7%	10.7%
	WACC	WACC	WACC
1.5% Terminal Growth	218.23	180.97	150.08
2.0% Terminal Growth	228.51	<u>187.99</u>	154.88
2.5% Terminal Growth	240.45	195.98	160.27

WACC Components

The valuation applies a Weighted Average Cost of Capital (WACC) of 9.7%, reflecting RBC Bearings' capital structure, business risk, and prevailing market conditions. The WACC represents the minimum return required by both equity and debt investors and serves as the discount rate used to estimate the present value of the Company's future free cash flows.

Equity Research – Initiation of Coverage RBC BEARINGS (RBC)

The cost of equity was estimated using the Capital Asset Pricing Model (CAPM), incorporating the U.S. risk-free rate, a relevered beta representative of the Company's operating risk, and the long-term U.S. equity market risk premium. The after-tax cost of debt reflects the Company's borrowing costs adjusted for the tax deductibility of interest expenses. These components were then weighted according to RBC Bearings' market-value capital structure.

Component	Value
Risk-free Rate	4.6%
Relevered Beta	0.96x
Equity Risk Premium	5.6%
Cost of Equity (CAPM)	9.9%
Pre-tax Cost of Debt	5.5%
Marginal Tax Rate	21.0%
After-tax Cost of Debt	4.3%
Equity Weight	94.8%
Debt Weight	5.2%
WACC	9.7%

Given RBC Bearings' conservative capital structure, equity financing represents the overwhelming majority of invested capital. Consequently, the cost of equity is the primary driver of the Company's WACC, while the contribution of debt financing remains relatively limited despite the benefit provided by the interest tax shield.

Conclusion

RBC Bearings remains a high-quality company with durable competitive advantages, a disciplined capital allocation strategy, and meaningful exposure to long-term structural growth trends across the aerospace, defense, and industrial sectors. The Company's resilient business model, strong operational execution, and successful acquisition strategy are expected to continue supporting sustainable free cash flow generation and long-term value creation.

However, despite these favorable operating characteristics, the estimated intrinsic value remains materially below the current market price. The current valuation appears to reflect expectations for future growth, profitability, and acquisition execution that exceed what can reasonably be supported by the operating assumptions adopted in this report. Accordingly, the analysis supports a SELL recommendation with a 12-month target price of US\$187.99 per share.

More than two centuries after Benjamin Franklin illustrated the importance of seemingly insignificant components, the same principle continues to define modern aerospace and industrial engineering. RBC Bearings demonstrates that, in mission-critical systems, value is rarely determined by the size of a component, but by the consequences of its failure. While this characteristic continues to reinforce the Company's competitive positioning and long-term strategic relevance, it does not, by itself, justify the current market valuation.

Competitors

RBC Bearings operates in a highly competitive industry alongside well-established manufacturers such as SKF, New Hampshire Ball Bearings (NHBB), Regal Rexnord, NORD, and Timken. While these companies serve a broad range of industrial and aerospace applications, RBC has established a differentiated position through its specialization in highly engineered bearings and precision components designed for mission-critical environments.

Unlike many larger industrial manufacturers whose competitive advantage is largely driven by scale and product breadth, RBC competes primarily through engineering expertise, stringent certification requirements, long-standing customer relationships, and the ability to deliver highly customized solutions. These characteristics create meaningful barriers to entry, particularly within the Aerospace & Defense segment, where qualification and certification processes often require years of testing, regulatory approval, and customer validation.

Management's disciplined acquisition strategy has further strengthened the Company's market position by expanding its product portfolio, broadening its technological capabilities, and increasing its presence across attractive end markets. This strategy has enabled RBC to compete successfully against substantially larger industry participants while maintaining a strong focus on high-value, precision-engineered applications.

Company	Market Position	Main End Markets	Relative Exposure
RBC Bearings	Precision Bearings	Aerospace, Defense, Industrial	Balanced
SKF	Global Bearing Manufacturer	Industrial, Automotive, Energy	Industrial
Timken	Bearings & Power Transmission	Industrial, Rail, Aerospace	Industrial
Regal Rexnord	Motion Control	Industrial Automation	Industrial
NHBB	Precision Bearings	Aerospace & Defense	Aerospace
NORD	Drive Systems	Industrial Equipment	Industrial

Although RBC competes against companies with substantially greater scale and broader product portfolios, its competitive position is supported by specialized engineering capabilities, extensive certification expertise, and durable customer relationships. Rather than pursuing volume-based competition, the Company focuses on applications where reliability, precision, and qualification history represent the primary purchasing criteria. This business model supports higher customer retention and reinforces RBC's position within markets characterized by high technical complexity and significant barriers to entry.

Equity Research – Initiation of Coverage RBC BEARINGS (RBC)

Financial Ratios and Peer Comparison

To complement the valuation analysis, selected financial ratios were compared with those of major publicly traded peers operating in the bearings, motion control, and industrial components markets. The comparison highlights differences in profitability, financial leverage, operating efficiency, and valuation.

RBC Bearings consistently ranks among the industry's highest-quality businesses, supported by superior margins, disciplined capital allocation, and attractive returns on invested capital. The Company's conservative balance sheet further differentiates it from many competitors, resulting in limited financial leverage and substantial financial flexibility.

However, these operating strengths are largely reflected in the Company's market valuation. Relative to peers, RBC trades at a meaningful premium across most valuation multiples, suggesting that investors already price in a significant portion of its expected long-term growth and profitability. Consequently, while operational performance remains strong, current valuation limits prospective shareholder returns under the assumptions adopted in this report.

Market Multiples (NTM)

Metric	RBC	SKF	Timken	Regal Rexnord
EV/EBITDA	28.4x	7.8x	13.6x	13.1x
P/E	41.0x	14.1x	22.6x	18.9x
EV/REVENUE	9.2x	1.3x	2.4x	2.9x

Profitability and Return (LTM)

Metric	RBC	SKF	Timken	Regal Rexnord
EBITDA Margin	30.53%	11.62%	17.42%	20.02%
ROIC	8.32%	6.78%	8.59%	5.39%
ROE	2.00%	13.00%	6.00%	3.00%

Capital Structure and Liquidity (LTM)

Metric	RBC	SKF	Timken	Regal Rexnord
Total Debt/ Equity	29.5%	34.4%	65.4%	71.3%
Current Ratio	2.2x	2.2x	2.9x	2.2x
Net Debt/EBITDA	1.6x	0.7x	2.2x	3.6x

Source: Koyfin

Risks

Every valuation is inherently dependent upon assumptions regarding future operating performance, industry conditions, and macroeconomic developments. While the assumptions adopted in this report are considered reasonable based on currently available information, several factors could materially influence RBC Bearings' intrinsic value. These risks can be divided into two broad categories: the principal upside risk to the investment thesis and the Company's operating and business risks.

Principal Upside Risk to the Investment Thesis

The SELL recommendation presented in this report is based primarily on the conclusion that RBC Bearings current market valuation exceeds its estimated intrinsic value under the assumptions adopted in the valuation model. Nevertheless, one structural development could materially alter this conclusion.

Structural Acceleration in Aerospace Demand

Although the valuation assumes continued expansion within the Aerospace & Defense segment, it does not incorporate the possibility of a structural acceleration in global aerospace investment beyond current expectations. History demonstrates that geopolitical competition can fundamentally reshape industrial priorities. During the Cold War, the Space Race between the United States and the Soviet Union accelerated technological innovation and stimulated decades of investment throughout the aerospace supply chain, creating sustained demand across the industry.

A comparable structural shift could emerge from today's geopolitical environment. Strategic competition among major powers, renewed emphasis on space superiority, expanding commercial space activity, and increasing government investment in next-generation aerospace technologies could substantially increase demand for highly engineered components. As a supplier of mission-critical bearings and precision-engineered systems, RBC Bearings would likely benefit from such a scenario.

Should these structural trends develop beyond the assumptions incorporated into this valuation, long-term revenue growth, profitability, and free cash flow generation could materially exceed current projections, resulting in an intrinsic value above the target price presented in this report and potentially invalidating the current investment thesis.

Business and Operating Risks

In addition to valuation-related considerations, RBC Bearings remains exposed to several operating and industry-specific risks that could materially affect its financial performance and long-term value creation.

Acquisition Execution Risk

RBC Bearings' long-term growth strategy relies heavily on selective acquisitions. Failure to identify attractive acquisition opportunities, successfully integrate acquired businesses, or realize expected operating synergies could reduce earnings growth, pressure returns on invested capital, and weaken long-term shareholder value creation.

Customer Concentration

A meaningful portion of the Company's revenue is generated from a relatively concentrated customer base. The loss of a major OEM program or a significant reduction in demand from key customers could materially affect future revenue growth and profitability.

Raw Material Inflation

The Company's manufacturing operations depend upon specialized raw materials, including high-grade steel alloys and other engineered inputs. Significant increases in commodity prices may temporarily

compress operating margins if higher production costs cannot be transferred to customers within existing contractual arrangements.

Government Spending and Defense Procurement

A significant portion of the Aerospace & Defense segment ultimately depends upon government procurement programs. Changes in defense priorities, budget allocations, procurement delays, or the cancellation of military programs may negatively affect demand throughout the defense supply chain.

Evolution of Military Procurement Priorities

Recent military conflicts have highlighted the growing effectiveness of lower-cost autonomous systems, including unmanned aerial vehicles, loitering munitions, and other expendable platforms. The increasing use of relatively inexpensive systems against significantly more costly conventional military assets has intensified discussions regarding the future allocation of defense budgets.

Should military procurement gradually shift toward lower-cost, rapidly replaceable systems rather than traditional high-value platforms, long-term demand for certain precision-engineered components supplied to legacy aerospace and defense programs could be adversely affected. Although RBC Bearings benefits from meaningful diversification through its Industrial segment, a structural change in procurement priorities could reduce long-term growth opportunities within portions of its Aerospace & Defense business.

Global Trade Policy

Changes in international trade policy, including tariffs, export restrictions, and broader geopolitical tensions, continue to reshape global supply chains. Although RBC Bearings operates a geographically diversified manufacturing footprint, prolonged trade disputes or escalating tariff measures could increase operating costs, disrupt production, or reduce demand across certain international markets.

Black Swan Events

As with any long-term investment, unforeseen events—including severe geopolitical crises, global recessions, financial market disruptions, pandemics, or other low-probability, high-impact occurrences—could materially affect the Company's operating performance, financial condition, and intrinsic valuation.

Management and Board

RBC Bearings is led by an experienced management team with deep technical, operational, and financial expertise. The company's leadership has consistently demonstrated a disciplined approach to capital allocation, operational execution, and long-term value creation. Complementing management, the Board of Directors combines expertise in engineering, manufacturing, finance, corporate governance, human capital, and private equity, providing a balanced oversight structure aligned with the company's strategic objectives.

Senior Management:

Dr. Michael J. Hartnett – Chairman, President and CEO – since 1992;

Daniel A. Bergeron – Director, Vice President and COO – COO since 2017.

The Board oversees the Company's governance through three standing committees:

Audit Committee – Oversees financial reporting, internal controls, risk management, and the relationship with the independent external auditor. The committee includes three directors who qualify as Audit Committee Financial Experts under SEC standards.

Compensation Committee – Responsible for executive compensation, incentive plans, succession planning, and aligning management remuneration with long-term shareholder interests.

Nominating and Governance Committee – Oversees corporate governance practices, Board composition, director nominations, and governance policies to ensure effective Board oversight.

Overall, RBC Bearings benefits from a well-balanced governance structure. The combination of long-tenured executive leadership, independent directors with extensive financial and engineering expertise, and specialized Board committees provides effective oversight of corporate strategy, capital allocation, risk management, and long-term value creation.

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Appendix

- (1) <https://www.imf.org/-/media/files/publications/weo/2026/april/english/text.pdf>
- (2) https://www.sipri.org/sites/default/files/2026-04/2604_milex_2025.pdf
- (3) <https://www.sipri.org/media/press-release/2025/unprecedented-rise-global-military-expenditure-european-and-middle-east-spending-surges>

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